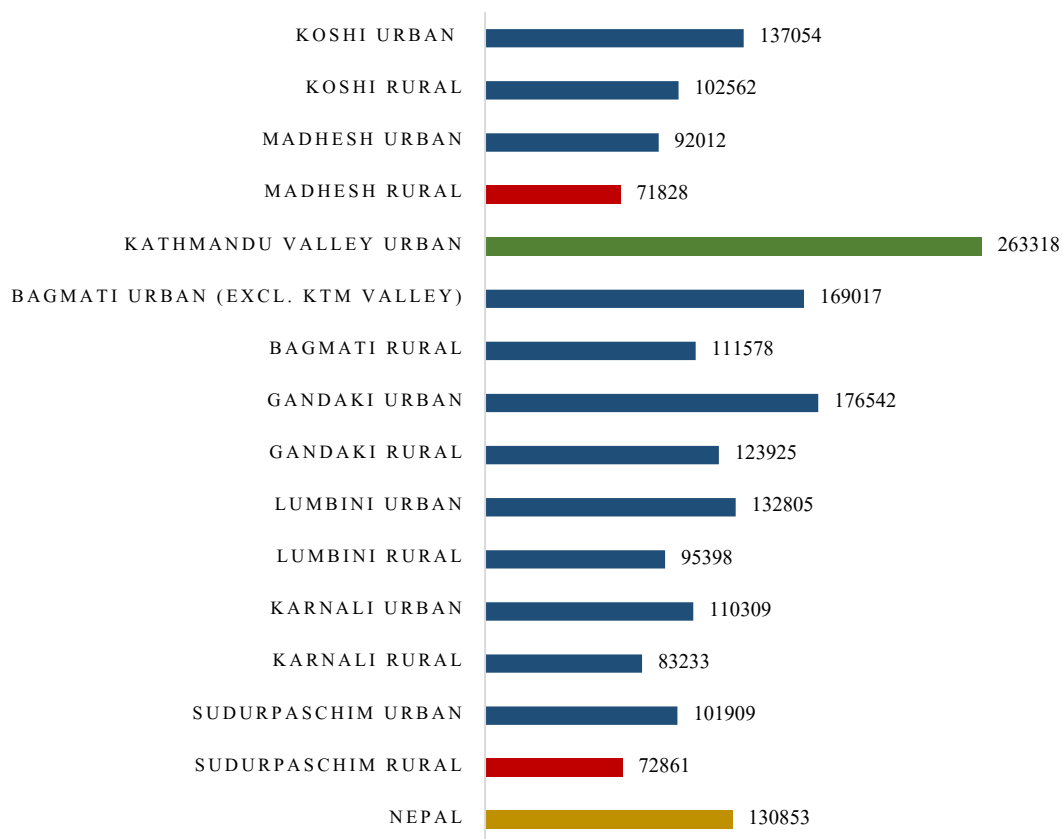


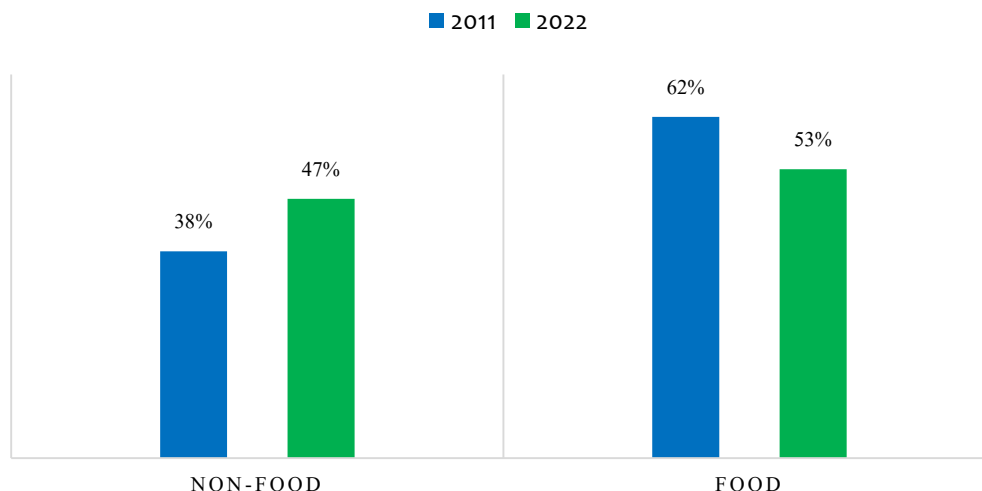
the average annual per capita expenditure among the richest quintile is over five times that in the poorest quintile in Lumbini Urban and Kathmandu Valley, this ratio is only 3.18 for Sudurpaschim Rural.

Figure 1. Average annual per capita nominal consumption expenditures, by analytical domain, NLSS-IV



Note: These nominal per capita expenditures are constructed with the updated methodology used in 2022-23.

Figure 2. Food and non-food share in annual adjusted per person consumption expenditure



Note: In this figure, the method to compute per capita consumption expenditures for 2022 is same as in 2011 for comparability.

Food Poverty Line

The construction of the food poverty line is a two-step process. First, the basic food needs are defined in terms of meeting a minimum calorie requirement per person. Second, the food poverty line is estimated by identifying and pricing the food basket of the relatively poor (reference population) that would fulfill minimum caloric needs.

Minimum calorie requirement: The minimum required calories are estimated based on the age and sex composition of an average Nepali household in 2022-23 from the NLSS-IV and the recommended dietary allowances for different age-sex cohorts using the Food Consumption table for Nepal (Food and Agricultural Organization, 2012 and Nepal National Nutrition Program, Ministry of Agricultural Development, 2017). Table 4 shows the construction of the minimum caloric requirement in 2022-23, estimated at 2,236 kilocalories (kcal) per person per day, which is marginally higher than the 2,220 kcal per day used for the old poverty line. The change in the minimum calorie threshold reflects changes in the demographic composition of households in NLSS_IV as well as the modified age-sex energy (kcal) intake recommendations between 2011 and 2023.

the amount by which any two households differ in terms of per capita spending, relative to the average. The Gini index ranges between 0 to 1, where a value of 0.0 represents perfect equality, while a Gini of 1.0 reflects perfect inequality. The Gini index for Nepal in 2023 stands at 0.30. The value for urban domains (0.303) is higher than rural (0.287) indicating larger inequalities in per capita consumption spending in urban areas.

Table 9. Poverty profile of Nepal in 2022-23

Region	Poverty Incidence			Gini Index	Distribution	
	Headcount rate	Poverty gap (percent)	Poverty gap squared (percent)		of the poor	of the population
Nepal	20.27	4.52	1.48	0.300		
Urban	18.34	4.03	1.29	0.303	62.86	69.48
Rural	24.66	5.64	1.91	0.287	37.14	30.52

Note: The column with the distribution of the population gives the share of individuals belonging to the sub-group in NLSS-IV data. The column with the distribution of the poor gives the proportion of the poor population that belongs a particular sub-group.

Seasonal poverty

Poverty is considerably lower during the third season, between October and January, at 17.56 percent (Table 10). The first and the second seasons have a higher incidence of poverty at 20.87 and 22.50 percent, respectively. The low poverty during the third season coincides with the months of the largest festivities – Dashain and Tihar.

Table 10. Seasonal variation in Poverty

Season	Poverty Incidence			Distribution	
	Headcount rate	Poverty gap (percent)	Poverty gap squared (percent)	of the poor	of the population
Season 1 (Feb - May)	20.87	4.34	1.35	34.72	33.72
Season 2 (Jun - Sep)	22.50	5.33	1.80	35.78	32.22
Season 3 (Oct - Jan)	17.56	3.94	1.29	29.50	34.04

Poverty in Provinces and Domains under the New Federal Structure

There is considerable variation in the incidence of poverty across the seven provinces and the 15 administrative domains. The poverty rates are higher than the national rate in four of the seven provinces (Table 11). Poverty rate is highest in Sudarpaschim (34.16 percent), followed by Karnali (26.69 percent), Lumbini (24.35 percent) and Madhesh (22.53 percent). Gandaki, Bagmati and Koshi, however, have a lower than national rate at 11.88, 12.59 and 17.19 percent, respectively. The poverty depth and severity are also higher in provinces with a higher poverty headcount.

Table 11. Provincial poverty, 2022-23

Province	Poverty Incidence			Distribution	
	Headcount rate	Poverty gap (x100)	Poverty gap squared (x100)	of the poor	of the population
Koshi	17.19	3.84	1.25	13.80	16.26
Madhesh	22.53	4.62	1.36	25.08	22.56
Bagmati	12.59	2.64	0.89	12.68	20.42
Gandaki	11.88	2.33	0.71	4.88	8.34
Lumbini	24.35	5.80	1.99	22.76	18.96
Karnali	26.69	6.25	2.16	6.74	5.12
Sudurpaschim	34.16	8.41	2.87	14.02	8.32

Rural domains have higher poverty rates than urban areas within each province, except in Lumbini and Gandaki (Table 12). Gandaki Urban has slightly higher poverty than Gandaki Rural, whereas the incidence of poverty is similar across Lumbini Rural and Urban. Poverty rates in Bagmati Rural are higher than the national average, with a quarter of its population below the poverty line.

Table 12. Poverty across analytical domains, 2022-23

Domain	Poverty Incidence			Distribution	
	Headcount rate	Poverty gap (x100)	Poverty gap squared (x100)	of the poor	of the population
Koshi Urban	15.90	3.39	1.03	8.38	10.68
Koshi Rural	19.67	4.72	1.66	5.42	5.60
Madhesh Urban	21.71	4.30	1.21	18.02	16.84
Madhesh Rural	24.96	5.54	1.80	7.06	5.74
Kathmandu Valley Urban	7.38	1.17	0.30	3.92	10.76
Bagmati Urban (excl. KTM Valley)	14.15	2.90	0.99	4.26	6.10
Bagmati Rural	25.61	6.64	2.49	4.52	3.58
Gandaki Urban	12.63	2.61	0.85	3.56	5.70
Gandaki Rural	10.27	1.72	0.41	1.34	2.64
Lumbini Urban	24.08	6.31	2.27	13.36	11.24
Lumbini Rural	24.73	5.06	1.57	9.40	7.70
Karnali Urban	23.16	4.99	1.65	3.16	2.78
Karnali Rural	30.86	7.73	2.76	3.58	2.36
Sudurpaschim Urban	30.86	7.67	2.57	8.20	5.38
Sudurpaschim Rural	40.21	9.77	3.42	5.82	2.94

Annex

Table A1: Poverty headcount, First Survey 1995-96 to Fourth Survey 2022-23

	Poverty headcount rate			
	1995-96	2003-04	2010-11	2022-23
Nepal	41.76	30.85	25.16	20.27
Urban	21.55	9.55	15.46	18.34
Rural	43.27	34.62	27.43	24.66

Note: Numbers for 1995-96 and 2003-04 are based on the 1995-96 poverty line. 2010-11 are based on 2010-11 poverty line and 2022-23 are based on the 2022-23 poverty line.

Table A2: Poverty gap, 1995-96 to 2022-23

	Poverty gap			
	1995-96	2003-04	2010-11	2022-23
Nepal	11.75	7.55	5.43	4.52
Urban	6.54	2.18	3.19	4.03
Rural	12.14	8.50	5.96	5.64

Note: Numbers for 1995-96 and 2003-04 are based on the 1995-96 poverty line. 2010-11 are based on 2010-11 poverty line and 2022-23 are based on the 2022-23 poverty line.

Table A3: Squared poverty gap, 1995-96 to 2022-23

	Squared poverty gap			
	1995-96	2003-04	2010-11	2022-23
Nepal	4.67	2.70	1.81	1.48
Urban	2.65	0.71	1.01	1.29
Rural	4.83	3.05	2.00	1.91

Note: Numbers for 1995-96 and 2003-04 are based on the 1995-96 poverty line. 2010-11 are based on 2010-11 poverty line and 2022-23 are based on the 2022-23 poverty line.

Table A4: Gini index, 1995-96 to 2022-23

	Gini index		
	Nepal	Urban	Rural
First Survey (1995-96)	32.2	42.7	30.8
Second Survey (2003-04)	41.4	43.6	34.9
Third Survey (2010-11)	32.8	35.3	31.1
Fourth Survey (2022-23)	30.0	30.3	28.7

Note: Numbers for 1995-96 and 2003-04 are based on the 1995-96 poverty line. 2010-11 are based on 2010-11 poverty line and 2022-23 are based on the 2022-23 poverty line.